

The Quiet Cost of Getting IFRS 9 Wrong in Mid-Market AR

Why most finance teams under-provision — and why it just got more expensive in both Australia and the UAE.

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The Observation

There is a quiet pattern in mid-market finance functions that I think deserves more attention. Across the AR books I have worked with at Accenture and Thermax Controls — and across the model I subsequently built independently — Expected Credit Loss (ECL) provisioning under IFRS 9 is too often approached as a compliance task: a year-end number calculated from a static historical loss rate, plugged into the financial statements, and forgotten until next year.

This worked when ECL was a quiet line item. In 2026, in both Australia and the UAE, it no longer is.

Why The Stakes Just Changed

In Australia, mid-market companies have been carrying climbing DSO since the post-rate-hike environment of 2024–25 began compressing customer cash flows. AASB 9 requires ECL to be forward-looking and reflective of current macroeconomic conditions — yet many finance teams continue to use loss rates derived from pre-2023 portfolios. The result is predictable: provision shortfalls revealed late in the audit cycle, restated balance sheets, and uncomfortable conversations with lenders and auditors.

In the UAE, the change is more material still. With Corporate Tax now embedded (first major returns due in 2026), bad debt provisions calculated under IFRS are *explicitly deductible* for tax purposes — subject to reasonable recovery steps having been taken. This means a well-built ECL framework is no longer just a reporting discipline. It is now a direct lever on taxable income.

The Framework I Use

When I built my own AR & Collections dashboard — a \$253K simulated B2B receivables portfolio across 25 invoices — I treated ECL as a four-tier exercise with explicit, defensible risk weights. The structure looks like this:

Aging Bucket	Risk Weight	Rationale
0–30 days (current)	1.0%	Stage 1 — performing; standard 12-month ECL
31–60 days	5.0%	Stage 1 — modest deterioration signal
61–90 days	15.0%	Stage 2 — significant increase in credit risk; lifetime ECL trigger
90+ days	40.0%	Stage 3 — credit-impaired; substantial provision warranted

These weights are deliberately conservative for mid-market application. The point is not that these are *the right numbers* — every business has its own loss history, customer concentration, and macro context. The point is that **the structure is defensible, auditable, and updatable**. A weight derived from a stale 2022 loss rate is not.

What the model surfaced — worked example

On a \$253K simulated portfolio, applying the four-tier weights above produced \$16,500 in projected ECL — roughly 6.5% of the total book. Of greater interest: the top 5 debtors held 51.5% of total outstanding exposure. That concentration is the kind of insight a flat aging report misses entirely. In a real portfolio, this would prompt tiered credit review and proactive engagement — not in the year-end audit, but in the next two weeks.

Two Implications Worth Sitting With

First — under-provisioning is no longer just an accounting story. In the UAE context, under-provisioning today means a higher taxable profit today, which means more Corporate Tax paid today, which is then awkwardly reversed when the receivable inevitably writes off. The cash cost of the timing mismatch is real. In Australia, the equivalent cost shows up as covenant breaches and lender confidence erosion.

Second — concentration risk should drive collections cadence, not the calendar. Most AR functions chase the oldest invoice first. The portfolio data suggests they should be chasing the largest exposure first, then the oldest within that exposure. The shift in framing is small. The working capital impact is not.

A Final Note

I do not claim that any of this is new. IFRS 9 has been in force since 2018, the ECL framework is well understood at Big 4 level, and these patterns will be familiar to anyone who has read the standard carefully. What I do think is genuinely under-discussed is how **shallow the application of these principles often is in mid-market finance functions** — where teams are smaller, technology is patchier, and the temptation to lean on last year's rate is strongest. In Australia and the UAE in 2026, the cost of that shallowness is rising. The good news is that the fix is not a tooling problem. It is a framework problem — and frameworks can be built and applied quickly when someone is willing to do the work.

ABOUT THE AUTHOR

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Finance & Accounts professional with experience across global consulting (Accenture) and industrial mid-market (Thermax Controls). Built the AR & Collections dashboard discussed above as an independent analytical project. MSc, Cardiff University, UK — with applied research in supply chain finance risk frameworks for SMEs. Currently exploring AR, finance, and audit advisory roles in **Sydney** and **Dubai**.

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